

Cobalt Finch Capacity Witness Deposition

Cobalt Finch Bioprocessing capacity witness

Civil Action No. SYN-WDNC-24-CV-0520

Taken May 19, 2025 in Durham, North Carolina

Dr. Nia Calder testified as Cobalt Finch Bioprocessing's designated witness regarding the October 2, 2024 capacity offer, facility capability, proposed BE-214 transfer, price estimate, deadline, and remaining uncertainty. Eli Mercer began the examination for Granite Heron. Maya Holt cross-examined for Blue Ember. Cobalt Finch's exercise counsel attended to protect proprietary information.

Calder brought the offer, capacity calendar, preliminary transfer outline, question log, and ordinary facility descriptions. The parties used generalized process terms so the synthetic record contains no real trade secret. Cobalt Finch is not a party and takes no position on carrier breach, recoverable damages, or the governing mitigation instruction.

Q. Are you testifying about what was available by October 4, not what hindsight later suggested?

A. Yes. I will identify contemporaneous capability, proposed tasks, assumptions, and matters that still required work.

Q. Did Cobalt Finch guarantee a successful BE-214 lot?

A. No manufacturing organization could responsibly guarantee that outcome from the information then available.

Witness role and Durham facility

Q. What was your position in October 2024?

A. Director of Technical Operations at Cobalt Finch Bioprocessing, 720 Meridian Commons Drive, Durham, North Carolina 27703.

Q. What were your responsibilities?

A. I assessed incoming processes, coordinated suite capacity, identified transfer and qualification work, and prepared technical-commercial proposals with quality and finance colleagues.

Q. Did your facility handle deep-frozen biologic intermediates?

A. Yes. It had relevant equipment, controlled material flow, trained staff, analytical support, and experience with comparable development-stage programs.

Q. Had Cobalt Finch previously made BE-214?

A. No. That specific process had not been run in our suite.

Q. Was the facility generally licensed or approved?

A. It operated under its fictional quality system for development manufacturing. Program-specific approval still depended on Blue Ember's qualification and change control.

Q. Did open capacity itself complete that approval?

A. No. It created an opportunity to perform the needed work on an accelerated schedule.

Q. Was your group authorized to promise approval for Blue Ember?

A. No. We could document our systems and perform transfer work, while Blue Ember retained its sponsor-side quality decision.

How the inquiry arose

Q. When did Cobalt Finch first learn Blue Ember might need replacement capacity?

A. A preliminary inquiry reached us near the end of September 2024. We understood that a validation lot had been rejected after a transport excursion.

Q. Who requested the inquiry?

A. A capacity intermediary contacted our business team with Blue Ember's authorization, followed by direct technical discussion with Blue Ember personnel.

Q. What information did you receive initially?

A. A high-level process description, scale, material class, desired frozen controls, timing need, and selected equipment requirements. We did not yet have the complete batch record or every analytical method.

Q. Why was a December slot open?

A. Another fictional program moved its campaign, leaving a suite window beginning December 2. We could hold it briefly while deciding whether transfer was feasible.

Q. Did Granite Heron direct your proposal?

A. No. Cobalt Finch did not negotiate with the carrier during the offer window.

Q. Were you aware of Aurora Quay?

A. We understood Blue Ember had a later established option, but we did not review that facility's contract.

October 2 written offer

Q. When was the proposal sent?

A. October 2, 2024.

Q. What capacity did it identify?

A. A BE-214 campaign start on December 2 in our Durham suite, subject to timely acceptance, transfer milestones, and readiness review.

Q. Was it merely an invitation to negotiate without a held slot?

A. No. We placed a temporary hold on actual capacity through the deadline. Several technical and commercial terms still needed finalization.

Q. What was the acceptance deadline?

A. October 4 at 17:00 Eastern Daylight Time.

Q. Why so short?

A. Another customer sought the same window, and the transfer schedule required an immediate start. We could not reserve specialized staff and suite time indefinitely.

Q. What would acceptance have accomplished?

A. It would have secured the slot, launched the transfer plan, authorized specified preliminary spend, and committed the parties to work through readiness conditions.

Q. Did acceptance itself constitute quality release?

A. No. Manufacturing readiness required later approvals.

Q. Was December 2 a placeholder with no suite assignment?

A. No. It was a scheduled opening linked to the identified facility, staffing plan, and proposed transfer calendar.

Commercial commitment and cancellation

Q. Could Blue Ember accept conditionally?

A. The offer had defined readiness conditions. Blue Ember would still make a commercial commitment and fund work even if a later technical issue stopped production.

Q. Was the full amount nonrefundable on October 4?

A. No. Payment was staged, but reserved capacity and completed transfer work could generate cancellation charges.

Q. Could Cobalt Finch extend the deadline?

A. We said a short extension might be considered if the competing customer did not commit. We did not promise one.

Q. Did Blue Ember ask for a no-cost hold through an on-site audit?

A. It asked about more diligence time. We could not guarantee the slot would remain open without commitment.

Q. Did you offer to return all money if qualification failed?

A. No. Costs already incurred would remain payable, and the capacity reservation had value.

Q. Was that unusual?

A. Not for an expedited development campaign with scarce capacity.

Q. Did the proposal conceal those terms?

A. No. The commercial schedule stated deposits, milestones, and cancellation consequences at a preliminary level.

Equipment and process capability

Q. What made you think the suite could perform the work?

A. Its scale range, single-use train, controlled environment, cold handling, utilities, and staffing matched the high-level process description.

Q. Did you compare every parameter?

A. We prepared a preliminary fit assessment. Detailed comparison required the full process description and batch record after acceptance.

Q. Were any obvious incompatibilities identified?

A. None that made the campaign facially infeasible. We flagged equipment-equivalence and mixing details for confirmation.

Q. Could Cobalt Finch receive material at the specified frozen range?

A. Yes. Our receiving and storage controls could support minus-eighty to minus-sixty material under an approved plan.

Q. Was every analytical method already installed?

A. No. Some could be transferred internally, and selected release testing might remain with Blue Ember or an approved external laboratory.

Q. Did staffing exist for the December window?

A. We had a planned team, contingent on timely booking and training.

Q. Was that team guaranteed not to change?

A. Individual assignments could change, but Cobalt Finch would remain responsible for qualified staffing.

Proposed technical-transfer work

Q. What was the first planned step after acceptance?

A. A kickoff on October 7 and transfer of controlled documents, followed by a focused gap review during the week of October 7.

Q. Was an on-site assessment planned?

A. Yes, for October 14 and 15, subject to access and participant availability.

Q. What came next?

A. Batch-record mapping, equipment parameter confirmation, material sourcing, method planning, operator training, and change-control resolution through early November.

Q. Did you propose an engineering confirmation?

A. A limited engineering and readiness exercise was targeted for November 11 through 15.

Q. What was the final gate?

A. A joint readiness decision by November 22. A critical unresolved gap could defer or cancel the December campaign.

Q. Could all documents be reviewed before October 4?

A. No. The offer relied on high-level diligence and a plan to complete detailed work after booking.

Q. Was that acceleration technically impossible?

A. We believed it was achievable with prompt cooperation, but it required disciplined execution by both organizations.

Quality qualification and change control

Q. What did Blue Ember need to approve?

A. Facility suitability, process mapping, analytical responsibility, materials, training, batch documents, comparability approach, deviations, and the program change control.

Q. Had it approved those items by October 4?

A. No. The offer created a route to approval; it was not evidence of completed qualification.

Q. Could an expedited audit be meaningful?

A. Yes. A focused risk-based audit can support a development campaign, though findings may require remediation.

Q. Did Cobalt Finch have unresolved major audit findings known then?

A. We disclosed no known condition that made the suite unavailable. Blue Ember had not performed its own review.

Q. Could Blue Ember use conditional approval?

A. Its quality system appeared to allow staged conditions if documented and scientifically justified. That decision belonged to Blue Ember.

Q. Would your team skip required controls to meet December 2?

A. No. We proposed overlapping work and fast review, not removal of critical safeguards.

Q. Did you regard Blue Ember's questions as unreasonable?

A. No. They were legitimate; the commercial question was whether to secure capacity while answering them.

Proposed schedule and output

Q. Summarize the schedule if milestones were met.

A. Kickoff October 7, gap work through October 11, on-site review October 14 and 15, transfer work through early November, engineering confirmation November 11 to 15, readiness decision November 22, and campaign start December 2.

Q. When did you expect manufacturing activity to finish?

A. The preliminary plan targeted campaign completion and initial record closure by December 20, with testing and final disposition following the agreed analytical sequence.

Q. Would that necessarily mean usable validation evidence on December 20?

A. Not necessarily. Review, testing, and any deviation could affect final availability.

Q. Did the proposal estimate a schedule advantage over March 3?

A. Yes. A successful December campaign could advance the replacement path by roughly three months at the manufacturing-start level.

Q. Could upstream material availability disrupt that plan?

A. Yes. Blue Ember had to supply documentation, inputs, and technical personnel promptly.

Q. Did Cobalt Finch control later regulatory milestones?

A. No. We controlled our contracted manufacturing tasks, not the entire BE-214 program.

Three-hundred-thousand-dollar estimate

Q. What did the 300,000-dollar figure cover?

A. Incremental transfer management, focused qualification, document adaptation, selected analytical transfer, training, engineering confirmation, and the capacity-related premium beyond an ordinary established-site campaign.

Q. Did it include all manufacturing charges?

A. The comparison assumed Blue Ember would incur replacement manufacturing somewhere. Three hundred thousand represented the incremental cost of using our expedited alternative, not the entire campaign invoice.

Q. Was it fixed?

A. It was a good-faith planning estimate with defined assumptions. A major equipment or method gap could increase it.

Q. Was it merely a number suggested by Granite Heron?

A. No. Cobalt Finch developed the estimate before it was used in the carrier's litigation analysis.

Q. Did Blue Ember challenge it during the window?

A. Blue Ember asked for more scope detail and expressed concern that unknown qualification work could exceed the estimate.

Q. Could the cost have been less?

A. If existing methods and documents transferred cleanly, some contingency might remain unused.

Q. Did Cobalt Finch promise a 300,000-dollar maximum?

A. No. Final pricing depended on confirmed scope.

Risk and absence of guarantee

Q. What were the principal execution risks?

A. Incomplete documents, equipment differences, material lead times, method-transfer difficulty, audit findings, training readiness, and a process result requiring investigation.

Q. Were those ordinary or exceptional?

A. They were recognizable transfer risks intensified by the compressed schedule. None was known to make success impossible.

Q. Could Cobalt Finch quantify the probability of success on October 2?

A. We did not provide a numerical probability. We characterized the project as feasible with elevated schedule risk.

Q. Would accepting the offer ensure 1.8 million dollars of avoided loss?

A. We did not evaluate Blue Ember's damages model and made no such assurance.

Q. Could declining be a rational quality choice?

A. A company could prefer an already qualified site. Whether the incremental risk justified losing the earlier opportunity is outside my fact-witness role.

Q. Was accepting irrational?

A. No. We believed a prepared sponsor could responsibly pursue the accelerated plan.

Q. Are those positions inconsistent?

A. No. A feasible option can carry real risk and require judgment.

Blue Ember's questions and response

Q. Did Blue Ember engage with the offer?

A. Yes. Its team asked detailed questions and joined a technical call. It did not ignore us.

Q. What issues did it emphasize?

A. Equipment comparability, analytical responsibilities, quality review, material timing, batch-document alignment, cancellation exposure, and the consequence of an unsuccessful expedited transfer.

Q. Did Cobalt Finch answer everything before 17:00 on October 4?

A. We answered at a preliminary level. Some questions required source documents and work after acceptance.

Q. Did you say the slot would vanish exactly at the deadline?

A. We said the hold ended and we could offer it to another customer. That is what happened.

Q. How did Blue Ember respond?

A. It declined to commit, citing unresolved readiness and its established Aurora Quay path.

Q. Did it request a future slot?

A. It asked to remain informed, but no comparable early capacity was then available.

Q. Did Cobalt Finch treat the refusal as bad faith?

A. No. We closed the opportunity and pursued other work.

Events after the deadline

Q. Was the December suite actually used?

A. Another fictional sponsor booked it after Blue Ember's hold expired.

Q. Does that prove BE-214 would have succeeded there?

A. No. It proves capacity was real, not the outcome of a different process.

Q. Did you later review the complete BE-214 transfer package?

A. Only materials produced for this litigation, not through a completed sponsor transfer. Hindsight review cannot recreate every October constraint.

Q. Did later information reveal a fatal incompatibility?

A. None that I identified, though detailed execution might have surfaced issues.

Q. Did Cobalt Finch calculate Blue Ember's contribution loss?

A. No. We supplied capacity, schedule, and cost facts to the parties and their experts.

Q. Are you being compensated as an expert?

A. No. Cobalt Finch is reimbursed for reasonable time responding to discovery. I offer organizational fact testimony.

Q. Has the original offer been preserved?

A. Yes, along with the capacity calendar, proposal support, and correspondence.

Q. Were later summaries kept separate from those source records?

A. Yes. Cobalt Finch identified when a document was created for discovery so it would not be mistaken for an October communication.

Closing clarifications

Q. The December 2 slot was genuine?

A. Yes.

Q. It was not already qualified for BE-214?

A. Correct. Qualification and transfer remained.

Q. Your team believed the work could be completed on the proposed schedule?

A. We believed it was feasible with prompt cooperation and successful readiness milestones.

Q. You did not guarantee success, final disposition, or a 1.8 million dollar saving?

A. Correct.

Q. The preliminary incremental estimate was 300,000 dollars?

A. Yes, subject to scope assumptions.

Q. Blue Ember had from October 2 until October 4 at 17:00 to secure the held capacity?

A. Yes.

Q. Can your testimony decide how a jury should balance those facts?

A. No. I supply the offer's capability, limits, cost, and timing; the parties and court address the legal consequence.

The deposition concluded with no substantive correction to Calder's fictional testimony. Cobalt Finch produced a descriptive exhibit list but no real laboratory, customer, or proprietary process information. Every facility, employee, calendar, proposal, amount, and event in this record is invented for training; the testimony does not concern an actual bioprocessing provider.